

10x Genomics

NASDAQ : TXG · \$5.99B mkt cap · 127M sh · \$540M cash, zero debt · ~\$540M net cash, no debt; ~127M shares (dual-class, founder voting control); Mature-Company Revenue ~\$600M, flat-to-declining 3yrs; cash-generative (+\$26M op cash Q1'26); ~85% recurring consumables (70% gross margin); DCF NIH-funding exposed

\$47.20

THE CENTRAL QUESTION

Is the market paying a spatial-growth multiple (~5x EV/sales) for a single-cell-decline reality — or correctly pricing a margin inflection plus spatial re-acceleration?

10x trades at ~\$3.6B (~\$28/sh) — ~5x EV/sales on ~\$600M revenue now flat-to-declining for three years. A dominant tools franchise: >7,900 instruments and ~85% recurring 70%-gross-margin consumables, net-cash and cash-generative after a 17% opex cut. The mature DCF asks whether revenue re-accelerates and margins convert to operating profit — against an NIH-funding shock and instrument-free rivals. The finding: the recent triple prices a spatial re-acceleration the base case (~3% grind) doesn't support — only the bull (~8%) approaches spot, the ultra-bull clears it.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$14.28 expected fair value today  
-69.7% vs spot \$47.20

FORWARD COMPOUNDED VALUE

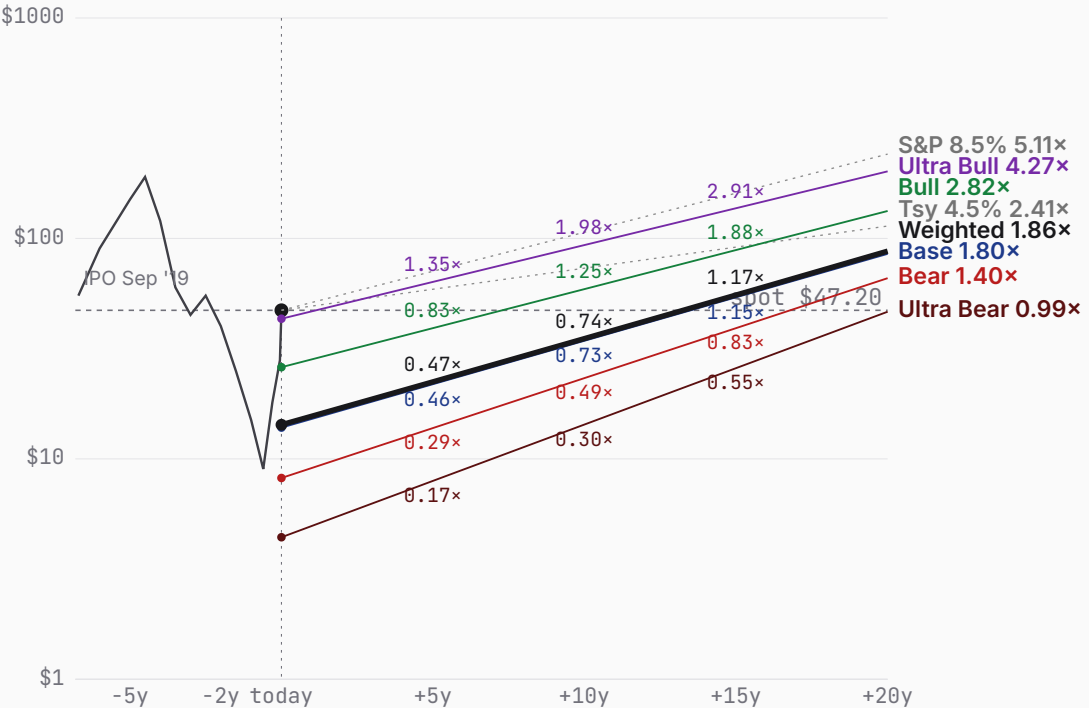
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$22.37    | \$35.14    | \$55.39    | \$87.60    |
| 0.47x spot | 0.74x spot | 1.17x spot | 1.86x spot |

WEIGHTING RATIONALE

Ultra Bear 15% NIH cuts crush demand; revenue declines; ~\$5.  
Bear 30% Flat revenue, thin margins; dominant ex-growth; ~\$8.  
Base 33% Slow ~3% grind; margins recover; ~\$14 (~50%).  
Bull 17% Spatial re-accelerates to ~8%; ~\$26 (≈spot).  
Ultra Bull 5% Clinical spatial inflection; mid-teens; ~\$43.

Bull (17%) + Ultra Bull (5%) together contribute \$6.59 — 46% of the \$14.28 expected value despite 22% combined probability. Today's spot (\$47.20) sits 231% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$4.41         | BEAR                                         | \$8.19         | BASE                                        | \$13.86        | BULL                                        | \$26.06        | ULTRA BULL                                   | \$43.23       |
|----------------------------------------------|----------------|----------------------------------------------|----------------|---------------------------------------------|----------------|---------------------------------------------|----------------|----------------------------------------------|---------------|
|                                              | -90.7% vs spot |                                              | -82.6% vs spot |                                             | -70.6% vs spot |                                             | -44.8% vs spot |                                              | -8.4% vs spot |
| CAGR -3.6% WACC 12.5%<br>CAGR -3.6% Prob 15% |                | CAGR -0.4% WACC 11.0%<br>CAGR -0.4% Prob 30% |                | CAGR +2.6% WACC 9.5%<br>CAGR +2.6% Prob 33% |                | CAGR +8.0% WACC 8.5%<br>CAGR +8.0% Prob 17% |                | CAGR +11.7% WACC 8.0%<br>CAGR +11.7% Prob 5% |               |
| NIH cuts bite; revenue declines.             |                | Stalled; flat revenue, thin margins.         |                | Slow ~3% grind; margins recover.            |                | Spatial re-accelerates the total.           |                | Clinical spatial inflection.                 |               |

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ALAMEDA RESEARCH  
2: ELECTRIC BOOGALOO  
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

10x Genomics scenario narratives

PROBABILITY WEIGHTS

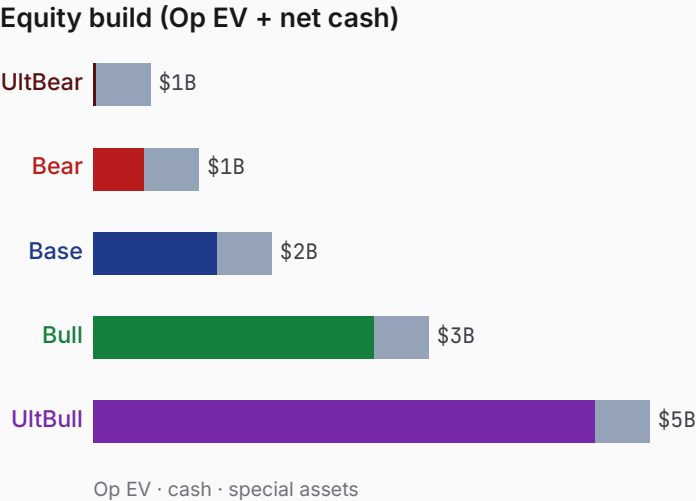
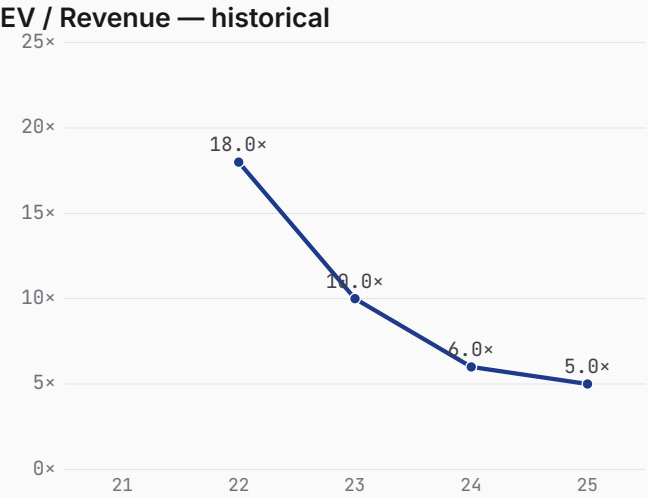
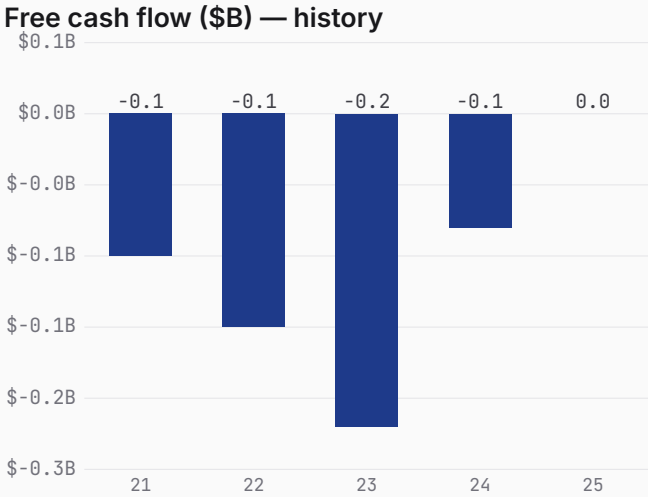
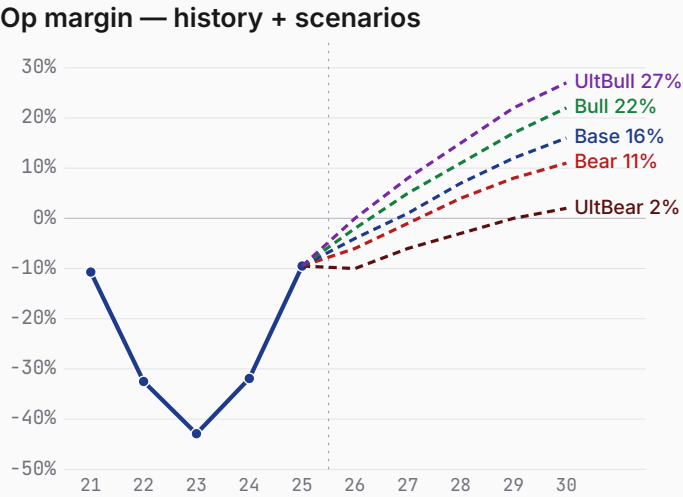
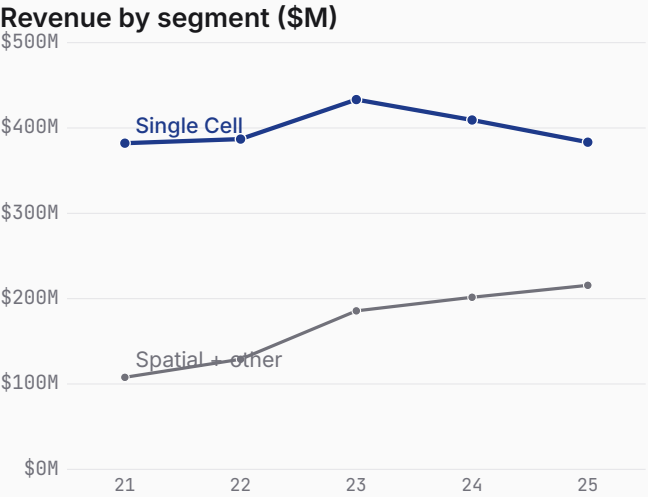
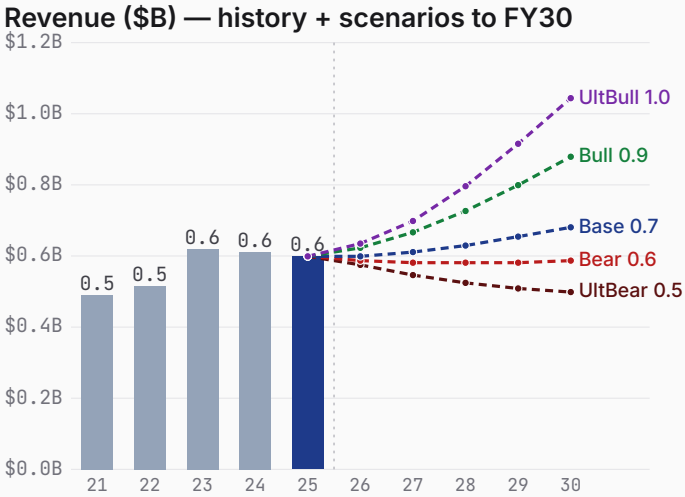
Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected \$14.28 (-69.7% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                               | \$4.41         | BEAR                                                                                                                                                                                                              | \$8.19         | BASE                                                                                                                                                                                                                                                 | \$13.86        | BULL                                                                                                                                                                                                                                                          | \$26.06        | ULTRA BULL                                                                                                                                                                                                          | \$43.23       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
|                                                                                                                                                                                                                                                                          | -90.7% vs spot |                                                                                                                                                                                                                   | -82.6% vs spot |                                                                                                                                                                                                                                                      | -70.6% vs spot |                                                                                                                                                                                                                                                               | -44.8% vs spot |                                                                                                                                                                                                                     | -8.4% vs spot |
| Probability 15%                                                                                                                                                                                                                                                          |                | Probability 30%                                                                                                                                                                                                   |                | Probability 33%                                                                                                                                                                                                                                      |                | Probability 17%                                                                                                                                                                                                                                               |                | Probability 5%                                                                                                                                                                                                      |               |
| NIH cuts bite; revenue declines.                                                                                                                                                                                                                                         |                | Stalled; flat revenue, thin margins.                                                                                                                                                                              |                | Slow ~3% grind; margins recover.                                                                                                                                                                                                                     |                | Spatial re-accelerates the total.                                                                                                                                                                                                                             |                | Clinical spatial inflection.                                                                                                                                                                                        |               |
| WHY 15%                                                                                                                                                                                                                                                                  |                | WHY 30%                                                                                                                                                                                                           |                | WHY 33%                                                                                                                                                                                                                                              |                | WHY 17%                                                                                                                                                                                                                                                       |                | WHY 5%                                                                                                                                                                                                              |               |
| The NIH funding shock is the dominant risk — ~25% of revenue is NIH-tied, instruments already fell 39%, and the academic market could shrink for years. 15% weight on a sustained decline.                                                                               |                | Spatial grows but can't offset single-cell erosion + the NIH drag; revenue stays flat. 30% weight — a very plausible 'dominant but ex-growth' outcome given the 3-year stall.                                     |                | Guidance holds (0-4%), cost discipline converts to FCF, spatial roughly offsets single-cell. 33% as the central, modal outcome — consistent with consensus ~3.8% CAGR.                                                                               |                | Requires spatial (Xenium) to re-accelerate the TOTAL to ~8% AND NIH to stabilize AND operating leverage to land. Each plausible; jointly ~17%.                                                                                                                |                | Tail: spatial inflects into clinical/translational use + peak-tools margins. ~5% — the secular-platform thesis fully realized.                                                                                      |               |
| WHAT HAPPENS                                                                                                                                                                                                                                                             |                | WHAT HAPPENS                                                                                                                                                                                                      |                | WHAT HAPPENS                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                  |                | WHAT HAPPENS                                                                                                                                                                                                        |               |
| The NIH / academic funding shock deepens — the proposed ~40% NIH cut sticks, instrument placements stay frozen, and the single-cell consumables decline accelerates faster than spatial can offset. Revenue falls ~4%/yr toward ~\$0.50B by FY30; the franchise shrinks. |                | Revenue stays roughly flat — the NIH drag offsets the Xenium spatial ramp, and single-cell erosion continues. 10x holds its dominant position but doesn't grow; margins recover only modestly on cost discipline. |                | The modal path: FY26 guidance holds (0-4% growth), spatial roughly offsets single-cell decline, and the 17% opex cut plus modest top-line growth converts the 70% gross margin toward a low-teens FCF margin — revenue ~\$0.68B by FY30 at ~3% CAGR. |                | The bull: Xenium spatial (and the ScaleBio instrument-free chemistry) re-accelerate the whole company to ~8% CAGR, NIH funding stabilizes, instrument placements resume, and operating leverage drives the FCF margin toward ~20% — revenue ~\$0.88B by FY30. |                | The tail: spatial biology inflects from research into translational/clinical use, 10x's installed-base + IP moat compounds, and revenue reaches mid-teens CAGR (~\$1.05B by FY30) at peak-tools margins (~27% FCF). |               |
| Even net-cash and debt-free, a declining-revenue tools business earns a distressed multiple — the DCF lands near \$5, ~80% below spot. The recurring consumables annuity erodes with the shrinking installed base.                                                       |                | A flat ~\$0.6B-revenue franchise at a mid-single-digit FCF margin earns ~\$8/share on the DCF — well below spot. 'Dominant, but ex-growth.'                                                                       |                | DCF ~\$14/share — ~50% below spot. The franchise is real and finally profitable, but a 3%-grower at a low-teens FCF margin doesn't support ~5x EV/sales. The market is paying for a re-acceleration the base case doesn't deliver.                   |                | DCF ~\$26/share — roughly today's price. This is the scenario the recent triple is pricing; it requires spatial to actually move the total, not just grow within a flat mix.                                                                                  |                | DCF ~\$43/share — ~+54% above spot. The genuine 'secular-growth platform' outcome the bulls envision; ~5% probability.                                                                                              |               |

10x Genomics business snapshot

Bear \$8.19 Base \$13.86 Bull \$26.06

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results



Sources: 10x Genomics Q1 2026 10-Q (net cash \$0.54B), FY2025 results (\$599M underlying revenue ex-litigation), segment + installed-base disclosures, patent-settlement filings. Revenue modeled as a growth-rate path off the FY25 base; FCF = revenue x FCF margin (mature framework, no dilution); terminal = Gordon at the scenario WACC. EV/sales context vs mature life-science-tools peers.

10x Genomics 7 Powers · the moat, scored

Bear \$8.19 Base \$13.86 Bull \$26.06

**Arena.** Single-cell + spatial biology tools — 10x Genomics (Chromium single-cell, Visium/Xenium spatial; ~85% recurring consumables) vs Illumina (sequencing platform, entering spatial), Bruker (CosMx/GeoMx ex-NanoString), Parse (instrument-free single-cell), Standard BioTools; defending a dominant tools franchise as growth stalls.

**POWER AUDIT**  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                                                                                            |                                                                                                                                                                                     |
|--------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b> · thesis leans here<br><div><div></div><div></div><div></div></div> | Razor/blade installed base (>6,400 Chromium + >1,500 spatial instruments) → ~85% recurring high-margin consumables; the strongest, most durable Power.                              |
| <b>Network Economies</b><br><div><div></div><div></div><div></div></div>                   | A published-protocol / citation network is mild; not a hard flywheel.                                                                                                               |
| <b>Counter-Positioning</b><br><div><div></div><div></div><div></div></div>                 | 10x is the incumbent, not counter-positioned; instrument-free entrants (Parse) counter-position against its razor model.                                                            |
| <b>Switching Costs</b><br><div><div></div><div></div><div></div></div>                     | Entrenched lab workflows, protocols, and data pipelines create real but not insurmountable lock-in.                                                                                 |
| <b>Branding</b><br><div><div></div><div></div><div></div></div>                            | The 'gold standard' single-cell brand; strong in academia.                                                                                                                          |
| <b>Cornered Resource</b><br><div><div></div><div></div><div></div></div>                   | Extensive droplet + in-situ patent estate (bankrupted NanoString; forces rivals to license) — durable on existing methods, but doesn't stop combinatorial-barcoding designs-around. |
| <b>Process Power</b><br><div><div></div><div></div><div></div></div>                       | Manufacturing + assay learning curve; real but contestable.                                                                                                                         |

COMPETITIVE READ

10x's Scale-Economies Power — a >7,900-instrument installed base throwing off ~85% recurring, 70%-margin consumables — is real and durable, and its IP estate bankrupted NanoString. But the Power is being audited in real time: single-cell consumables are declining, instrument placements are frozen by the NIH funding shock, and instrument-free entrants (Parse — and 10x's own ScaleBio acquisition) attack the razor model the annuity depends on. The market pays ~5x EV/sales for a spatial re-acceleration the base case doesn't yet support; the durability of the consumables annuity through the academic-funding shock is the falsifier the valuation rests on.

PEER SET

|                                                                                                                                               |                             |
|-----------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| <b>Illumina</b><br>Sequencing platform 10x's reads run on; entering spatial; huge balance sheet. 10x is suing it over spatial/single-cell IP. | 3% gr · 20% mgn · ~5x sales |
| <b>Bruker</b><br>CosMx/GeoMx (ex-NanoString) spatial imaging; settled & licenses 10x IP (pays \$68M + royalties).                             | 5% gr · 15% mgn · ~3x sales |
| <b>Parse Biosciences</b><br>Instrument-free split-pool single-cell — removes the razor, undercuts Chromium. 10x won an ATAC injunction vs it. | · private                   |
| <b>Standard BioTools</b><br>Fluidigm + Olink; multiomics-adjacent, consolidating.                                                             | 0% gr · ~2x sales           |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                            |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Counter-Positioning</b> · Instrument-free entrants (Parse; 10x's own ScaleBio chemistry)<br><b>falsifier:</b> Single-cell consumables decline accelerates beyond -5%/yr as researchers adopt instrument-free workflows. |
| <b>Scale Economies</b> · NIH / academic funding cuts<br><b>falsifier:</b> Instrument placements stay frozen (instruments < -20%/yr) for two more years, shrinking the future consumables annuity.                          |
| <b>Cornered Resource</b> · Illumina spatial entry + design-arounds<br><b>falsifier:</b> Illumina or a combinatorial-barcoding rival takes material spatial share while 10x's IP suits stall.                               |

10x Genomics show your work

Bear \$8.19 Base \$13.86 Bull \$26.06 · Weighted \$14.28 (-69.7%)

| ULTRA BEAR                                |         |         |         |        | \$4.41  | BEAR                                      |         |         |       |         | \$8.19  | BASE                                      |         |        |         |         | \$13.86 | BULL                                      |      |         |         |          | \$26.06  | ULTRA BULL                                |         |         |          |          | \$43.23 |
|-------------------------------------------|---------|---------|---------|--------|---------|-------------------------------------------|---------|---------|-------|---------|---------|-------------------------------------------|---------|--------|---------|---------|---------|-------------------------------------------|------|---------|---------|----------|----------|-------------------------------------------|---------|---------|----------|----------|---------|
| ASSUMPTIONS                               |         |         |         |        |         | ASSUMPTIONS                               |         |         |       |         |         | ASSUMPTIONS                               |         |        |         |         |         | ASSUMPTIONS                               |      |         |         |          |          | ASSUMPTIONS                               |         |         |          |          |         |
| 5y revenue CAGR (%)                       |         |         |         |        | -3.6    | 5y revenue CAGR (%)                       |         |         |       |         | -0.4    | 5y revenue CAGR (%)                       |         |        |         |         | +2.6    | 5y revenue CAGR (%)                       |      |         |         |          | +8.0     | 5y revenue CAGR (%)                       |         |         |          |          | +11.7   |
| Year-5 op margin (%)                      |         |         |         |        | 2.0     | Year-5 op margin (%)                      |         |         |       |         | 11.0    | Year-5 op margin (%)                      |         |        |         |         | 16.0    | Year-5 op margin (%)                      |      |         |         |          | 22.0     | Year-5 op margin (%)                      |         |         |          |          | 27.0    |
| WACC (%)                                  |         |         |         |        | 12.5    | WACC (%)                                  |         |         |       |         | 11.0    | WACC (%)                                  |         |        |         |         | 9.5     | WACC (%)                                  |      |         |         |          | 8.5      | WACC (%)                                  |         |         |          |          | 8.0     |
| Terminal growth (%)                       |         |         |         |        | -1.0    | Terminal growth (%)                       |         |         |       |         | 1.0     | Terminal growth (%)                       |         |        |         |         | 2.5     | Terminal growth (%)                       |      |         |         |          | 3.0      | Terminal growth (%)                       |         |         |          |          | 3.5     |
| 5y revenue CAGR (%)                       |         |         |         |        | -3.6    | 5y revenue CAGR (%)                       |         |         |       |         | -0.4    | 5y revenue CAGR (%)                       |         |        |         |         | +2.6    | 5y revenue CAGR (%)                       |      |         |         |          | +8.0     | 5y revenue CAGR (%)                       |         |         |          |          | +11.7   |
| Starting revenue (\$B)                    |         |         |         |        | 0.60    | Starting revenue (\$B)                    |         |         |       |         | 0.60    | Starting revenue (\$B)                    |         |        |         |         | 0.60    | Starting revenue (\$B)                    |      |         |         |          | 0.60     | Starting revenue (\$B)                    |         |         |          |          | 0.60    |
| Scenario probability (%)                  |         |         |         |        | 15      | Scenario probability (%)                  |         |         |       |         | 30      | Scenario probability (%)                  |         |        |         |         | 33      | Scenario probability (%)                  |      |         |         |          | 17       | Scenario probability (%)                  |         |         |          |          | 5       |
| 5-YEAR DCF · \$B                          |         |         |         |        |         | 5-YEAR DCF · \$B                          |         |         |       |         |         | 5-YEAR DCF · \$B                          |         |        |         |         |         | 5-YEAR DCF · \$B                          |      |         |         |          |          | 5-YEAR DCF · \$B                          |         |         |          |          |         |
| FY                                        | Rev     | Margin  | FCF     | PV FCF |         | FY                                        | Rev     | Margin  | FCF   | PV FCF  |         | FY                                        | Rev     | Margin | FCF     | PV FCF  |         | FY                                        | Rev  | Margin  | FCF     | PV FCF   |          | FY                                        | Rev     | Margin  | FCF      | PV FCF   |         |
| FY26                                      | 0.58    | -10%    | -0.02   | -0.02  |         | FY26                                      | 0.59    | -6%     | +0.00 | +0.00   |         | FY26                                      | 0.60    | -4%    | +0.01   | +0.01   |         | FY26                                      | 0.62 | -2%     | +0.03   | +0.02    |          | FY26                                      | 0.63    | +0%     | +0.04    | +0.04    |         |
| FY27                                      | 0.55    | -6%     | -0.01   | -0.01  |         | FY27                                      | 0.58    | -1%     | +0.02 | +0.01   |         | FY27                                      | 0.61    | +1%    | +0.03   | +0.03   |         | FY27                                      | 0.67 | +5%     | +0.05   | +0.04    |          | FY27                                      | 0.70    | +8%     | +0.08    | +0.07    |         |
| FY28                                      | 0.52    | -3%     | +0.00   | +0.00  |         | FY28                                      | 0.58    | +4%     | +0.04 | +0.03   |         | FY28                                      | 0.63    | +7%    | +0.06   | +0.04   |         | FY28                                      | 0.73 | +11%    | +0.10   | +0.07    |          | FY28                                      | 0.80    | +15%    | +0.13    | +0.10    |         |
| FY29                                      | 0.51    | +0%     | +0.01   | +0.00  |         | FY29                                      | 0.58    | +8%     | +0.05 | +0.03   |         | FY29                                      | 0.65    | +12%   | +0.09   | +0.06   |         | FY29                                      | 0.80 | +17%    | +0.14   | +0.10    |          | FY29                                      | 0.92    | +22%    | +0.20    | +0.15    |         |
| FY30                                      | 0.50    | +2%     | +0.01   | +0.01  |         | FY30                                      | 0.59    | +11%    | +0.07 | +0.04   |         | FY30                                      | 0.68    | +16%   | +0.11   | +0.07   |         | FY30                                      | 0.88 | +22%    | +0.19   | +0.13    |          | FY30                                      | 1.04    | +27%    | +0.28    | +0.19    |         |
| Σ PV explicit FCF                         |         |         |         |        | -0.02   | Σ PV explicit FCF                         |         |         |       |         | +0.11   | Σ PV explicit FCF                         |         |        |         |         | +0.21   | Σ PV explicit FCF                         |      |         |         |          | +0.37    | Σ PV explicit FCF                         |         |         |          |          | +0.54   |
| + PV terminal (g -1.0%)                   |         |         |         |        | 0.04    | + PV terminal (g 1.0%)                    |         |         |       |         | 0.39    | + PV terminal (g 2.5%)                    |         |        |         |         | 1.01    | + PV terminal (g 3.0%)                    |      |         |         |          | 2.40     | + PV terminal (g 3.5%)                    |         |         |          |          | 4.41    |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        |         | EQUITY BUILD · \$B & PER SHARE            |         |         |       |         |         | EQUITY BUILD · \$B & PER SHARE            |         |        |         |         |         | EQUITY BUILD · \$B & PER SHARE            |      |         |         |          |          | EQUITY BUILD · \$B & PER SHARE            |         |         |          |          |         |
| Operating EV                              |         |         |         |        | \$0.02B | Operating EV                              |         |         |       |         | \$0.50B | Operating EV                              |         |        |         |         | \$1.22B | Operating EV                              |      |         |         |          | \$2.77B  | Operating EV                              |         |         |          |          | \$4.95B |
| + Cash & investments                      |         |         |         |        | \$0.54B | + Cash & investments                      |         |         |       |         | \$0.54B | + Cash & investments                      |         |        |         |         | \$0.54B | + Cash & investments                      |      |         |         |          | \$0.54B  | + Cash & investments                      |         |         |          |          | \$0.54B |
| = Equity value                            |         |         |         |        | \$0.56B | = Equity value                            |         |         |       |         | \$1.04B | = Equity value                            |         |        |         |         | \$1.76B | = Equity value                            |      |         |         |          | \$3.31B  | = Equity value                            |         |         |          |          | \$5.49B |
| FY30 shares (M)                           |         |         |         |        | 127     | FY30 shares (M)                           |         |         |       |         | 127     | FY30 shares (M)                           |         |        |         |         | 127     | FY30 shares (M)                           |      |         |         |          | 127      | FY30 shares (M)                           |         |         |          |          | 127     |
| = Expected per share                      |         |         |         |        | \$4.41  | = Expected per share                      |         |         |       |         | \$8.19  | = Expected per share                      |         |        |         |         | \$13.86 | = Expected per share                      |      |         |         |          | \$26.06  | = Expected per share                      |         |         |          |          | \$43.23 |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |       |         |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |        |         |         |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |      |         |         |          |          | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |          |          |         |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y     | +10y                                      | +15y    | +20y    |       | +5y     | +10y    | +15y                                      | +20y    |        | +5y     | +10y    | +15y    | +20y                                      |      | +5y     | +10y    | +15y     | +20y     |                                           | +5y     | +10y    | +15y     | +20y     |         |
| \$7.95                                    | \$14.32 | \$25.81 | \$46.50 |        | \$13.80 | \$23.25                                   | \$39.19 | \$66.03 |       | \$21.82 | \$34.35 | \$54.07                                   | \$85.12 |        | \$39.19 | \$58.92 | \$88.60 | \$133.22                                  |      | \$63.52 | \$93.33 | \$137.13 | \$201.49 |                                           | \$63.52 | \$93.33 | \$137.13 | \$201.49 |         |
| 0.17×                                     | 0.30×   | 0.55×   | 0.99×   |        | 0.29×   | 0.49×                                     | 0.83×   | 1.40×   |       | 0.46×   | 0.73×   | 1.15×                                     | 1.80×   |        | 0.83×   | 1.25×   | 1.88×   | 2.82×                                     |      | 1.35×   | 1.98×   | 2.91×    | 4.27×    |                                           | 1.35×   | 1.98×   | 2.91×    | 4.27×    |         |

10x Genomics People · Opportunity · Context · Deal

Bear \$8.19 Base \$13.86 Bull \$26.06

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Serge Saxonov · founder-led 14 yrs in seat

8.3% insider ownership  
MEDIUM key-person risk

**Capital allocation (realized)**  
Co-founder Serge Saxonov has been CEO since founding 10x in 2012; co-founder Ben Hindson is President & CSO. The balance sheet is a fortress — ~\$540M cash and no debt — funding heavy R&D (~\$239M) as the business narrows losses toward profitability (FY2025 net loss \$43.5M, improving; Q1 2026 operating cash flow turned positive). No dividend or buyback. A defining feature is its patent estate: 10x won its long-running suits (Bio-Rad settled and cross-licensed; the NanoString case ended with acquirer Bruker paying 10x \$68M).

**Incentive alignment**  
Saxonov's FY2024 compensation was ~\$7.9M (~92% equity). Insider trading is programmatic 10b5-1 selling (partly RSU tax withholding), no open-market buying. The founders are aligned through their super-voting Class B stake rather than economic ownership — insiders hold under ~8% of the economics but the super-voting class carries the large majority of the votes.

GOVERNANCE FLAGS

- dual-class super-voting: Class B = 10 votes per share; the Class B block holds the large majority of voting power while public Class A holds a small minority
- mitigant: Chair and CEO are SEPARATED — an independent Chairman (John Stuelpnagel), not the founder-CEO
- no single majority controller — the founder's individual voting power is a minority; the super-voting is spread across early holders
- classified / staggered board (three classes) — an entrenchment feature
- no time-based dual-class sunset — Class B converts only on transfer or a co-founder's death/disability
- 6 of 8 directors independent; all three standing committees fully independent

PEOPLE READ

Better-governed than most dual-class names: an independent Chairman separate from the CEO, fully-independent committees, a net-cash balance sheet, and a patent estate that won its wars. The cap at 3 is structural — the super-voting Class B disenfranchises public holders, and the board is classified with no time-based sunset. But no single person controls a majority (the founders' individual votes are a minority), which is why it sits at the top of the 3 tier. Key-person risk is moderate — two founders in the CEO/CSO seats, but a deep independent board and institutional bench.

THE FOUR LEGS

People observable composite · 1–5

**Opportunity**  
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market purchase = the deal: entry price vs. the scenario distribution (the -49.2% finding) + position sizing.

10x Genomics

supporting analysis · disclaimers · glossary

Bear \$8.19 Base \$13.86 Bull \$26.06

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**Razor/blade annuity is the moat.**  
~85% of revenue is recurring 70%-gross-margin consumables off a >7,900-instrument installed base — a durable Scale-Economies Power.
- 2

**Net-cash, self-funding, no dilution.**  
~\$540M net cash, debt-free, and freshly cash-generative (+\$26M op cash Q1'26) — no raise needed; failure risk negligible.
- 3

**IP estate bankrupted a competitor.**  
10x's droplet/in-situ patents bankrupted NanoString and extract royalties from Bruker/Vizgen — a real cornered resource.
- 4

**Spatial (Xenium) is the growth engine.**  
Spatial consumables +19%; Xenium Protein multiomics extends the lead — the re-acceleration optionality.
- 5

**Cost discipline already executed.**  
A 17% opex cut + 8% headcount reduction collapsed the net loss from -\$183M to -\$44M; the operating leverage is in place if revenue grows.

FALSIFICATION TRIGGERS

|                                                                                                                                                                  |                                                                                                                                                           |                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>total revenue growth re-accelerates >7% · spatial offsets single-cell decline · NIH / instrument placements recover · FCF margin > 15% | <b>Bear validation</b><br>single-cell consumables decline accelerates < -5% · instruments stay frozen · NIH cuts bite · revenue flat-to-down through FY27 | <b>Reframe needed</b><br>if spatial biology inflects into clinical/translational use at scale, re-rate the growth path and terminal multiple toward a secular-platform level |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                            |                                                                                                                                            |                                                                                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Chromium / single-cell</b> — 10x's flagship single-cell platform; the legacy core — ~\$386M revenue, slowly declining.                                  | <b>Visium / Xenium / spatial</b> — 10x's spatial-biology platforms (in-situ + sequencing-based); the +19% growth engine.                   | <b>Razor/blade (consumables)</b> — Instruments (the razor) drive recurring consumable-reagent sales (the blade); ~85% of 10x revenue is recurring consumables. |
| <b>NIH funding shock</b> — ~25% of revenue is NIH-tied; proposed ~40% NIH cuts froze academic instrument purchases (-39% in FY25) — the dominant headwind. | <b>FCF margin</b> — Mature-DCF lever — the free-cash-flow margin the 70% gross margin converts to as revenue and operating leverage build. |                                                                                                                                                                |